

Arista Networks, Inc. (ANET)

\$120.77 (Stock Price as of 03/27/2026)

Price Target (6-12 Months): **\$135.00**

Long Term: 6-12 Months

Zacks Recommendation:

Neutral

(Since: 10/06/25)

Prior Recommendation: Outperform

Short Term: 1-3 Months

Zacks Rank: (1-5)

3-Hold

Zacks Style Scores:

VGM: C

Value: F

Growth: B

Momentum: A

Summary

Arista's innovative product launches and steady customer additions, backed by its best-in-class portfolio strength, led to top-line expansion, while steady margin improvement contributed to earnings growth. Its software-driven platforms and high-speed switches boost cloud networking growth and strengthen profitability through innovation and cost control. The company surpassed shipments of 150 million cumulative ports in the fourth quarter of 2025 with healthy momentum from the Arista 2.0 strategy. However, Arista faces stiff competition in cloud networking solutions, particularly in the 10-gigabit Ethernet and above. Rise in headcount, new product introduction costs, and higher variable compensation expenditures are straining margins. Its high customer concentration is a concern. A constrained supply chain environment is worrisome.

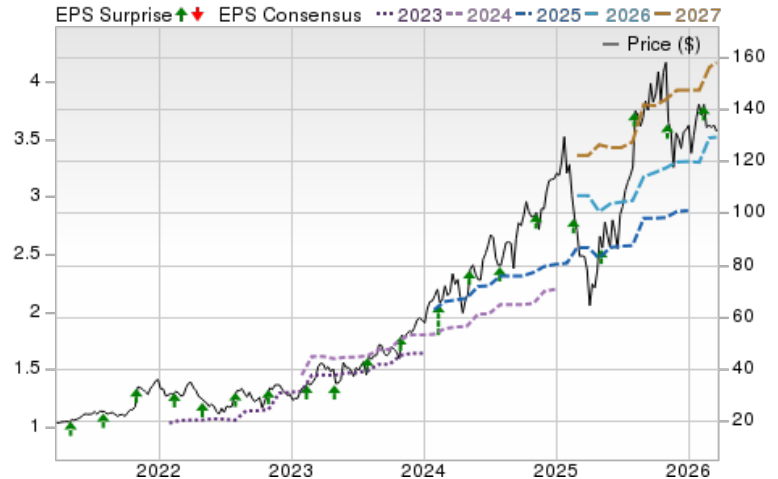
Data Overview

52 Week High-Low	\$164.94 - \$59.43
20 Day Average Volume (sh)	6,641,905
Market Cap	\$151.8 B
YTD Price Change	-7.8%
Beta	1.46
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Internet - Software
Zacks Industry Rank	Bottom 38% (152 out of 244)

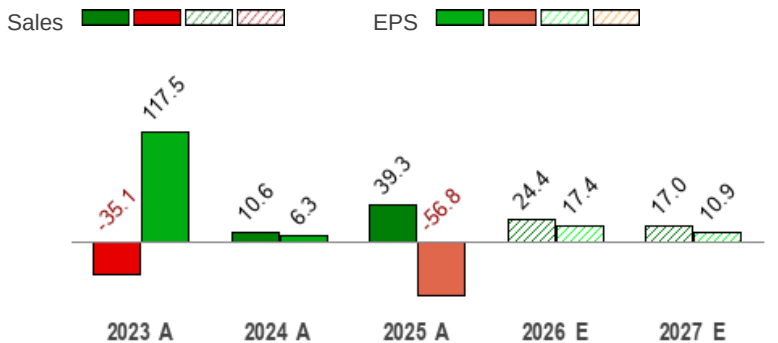
Last EPS Surprise	9.3%
Last Sales Surprise	4.8%
EPS F1 Est- 4 week change	0.2%
Expected Report Date	05/05/2026
Earnings ESP	-0.6%

P/E TTM	40.9
P/E F1	18.6
PEG F1	1.3
P/S TTM	16.9

Price, Consensus & Surprise⁽¹⁾



Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027					13,100 E
2026					11,200 E
2025	2,005 A	2,205 A	2,308 A	2,488 A	9,006 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027					3.88 E
2026					3.50 E
2025	0.65 A	0.73 A	0.75 A	0.82 A	2.98 A

*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.

(2) The report's text and the price target are as of 03/27/2026.

Overview

Santa Clara, CA-based Arista Networks, Inc. is engaged in providing cloud networking solutions for data centers and cloud computing environments. The company offers 10/25/40/50/100 Gigabit Ethernet switches and routers optimized for next-generation data center networks.

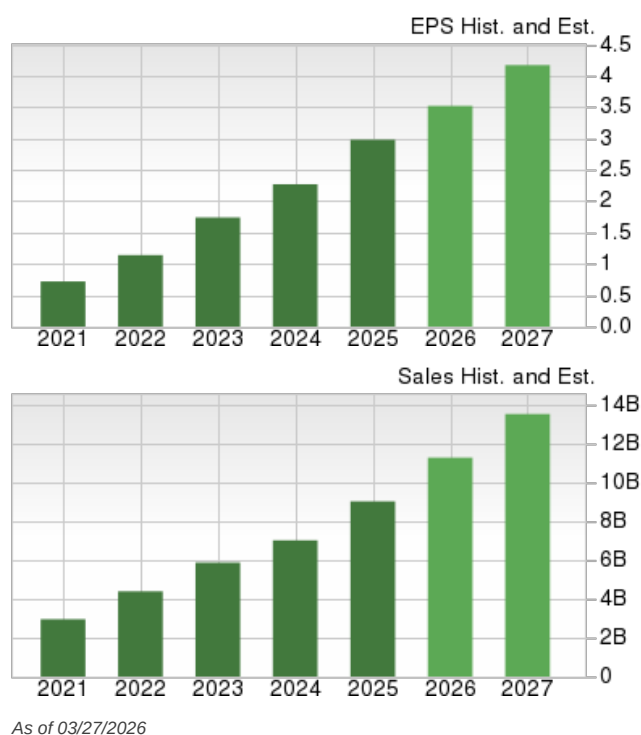
Arista uses multiple silicon architectures across its products. At the core of the company's cloud networking solutions is the Linux-based Extensible Operating System (EOS), which was architected to be fully programmable and highly modular.

EOS supports leading cloud and virtualization solutions, including Microsoft System Center, OpenStack and other cloud management frameworks. The company co-authored the Virtual Extensible LAN (VXLAN) protocol specification with VMware and was the first to demonstrate VXLAN integration. It has now expanded VXLAN routing and integration.

In 2015, Arista introduced CloudVision, a network-wide approach for workload orchestration and workflow automation delivering a turnkey solution for cloud networking. In 2019, Arista introduced 10 new 400G platforms. In the Leaf/Spine High Network Radix category, it now offers two new fixed 32 port 400G switches and a 128 port 100G/32 port 400G modular switch. For the Universal Leaf and Spine category of switching, the company introduced R3 series 100G and 400G products supporting up to 2.5M routes on its 7280R3 series fixed and 7500R3 series modular platforms.

Arista introduced a modular family called the 7800R3, a high-density 100G and 400G platform supporting up to 460 Tbps of system throughput. Also, it launched the 720XP Series of fixed Power over Ethernet (PoE) leaf switches with 60W PoE, enabling it to offer a complete end-to-end solution for cognitive campus Ethernet as well as the introduction of WiFi-6 wireless Access Points (APs).

The company serves five verticals, namely – cloud titans (customers that deploy more than one million servers), cloud specialty providers, service providers, financial services and the rest of enterprise. Arista's customers include six of the largest cloud service providers based on annual revenues. In 2025, total revenues were \$9 billion.



Reasons To Buy:

- ▲ The **Arista 2.0 strategy** is resonating well with customers with its modern networking platforms being foundational for the transformation from silos to centers of data. The company surpassed shipments of 150 million cumulative ports in the fourth quarter of 2025. The company is well-positioned with the right network architecture for client-to-campus data center cloud and AI networking backed by three guiding principles. These include the best-in-class, highly proactive products with resilience, zero-touch automation and telemetry with predictive client-to-cloud one-click operations with granular visibility and prescriptive insights for deeper AI algorithms.
- ▲ Arista should benefit from its **software-driven, data-centric approach** that helps customers build their cloud architecture and enhance the cloud experience they offer their clients. The company holds a leadership position in 100-gigabit Ethernet switching for the high-speed datacenter segment. It is increasingly gaining market traction in 200- and 400-gig high-performance switching products and remains well-positioned for healthy growth in data-driven cloud networking business with proactive platforms and predictive operations. The profitability of the company remains bolstered by highly leveraged R&D and go-to-market models, combined with continued disciplined cost management.
- ▲ Arista has made several additions to its multi-cloud and cloud-native software product family with CloudEOS Edge. It has introduced new **cognitive Wi-Fi software** that delivers intelligent application identification, automated troubleshooting and location services. This supports video conferencing applications like Google Hangouts, Microsoft Teams and Zoom provides a competitive advantage against its rivals. The acquisition of Awake Security, a Network Detection and Response platform provider that combines artificial intelligence with human expertise to autonomously hunt and respond to insider and external threats, has expanded its cognitive campus portfolio with new platforms. These include the 750 Series modular chassis and the 720 Series 96 port fixed switch. Arista has also announced unified edge innovations across wired and wireless networks for its Cognitive Campus Edge portfolio for Enterprise Workspaces and an enterprise-grade Software-as-a-Service offering for the flagship CloudVision platform.
- ▲ Arista **continues to benefit from the expanding cloud networking market**, which is driven by the strong demand for scalable infrastructure. In addition to high capacity and easy availability, its cloud networking solutions promise predictable performance along with programmability that enables integration with third-party applications for network management, automation and orchestration. The company's product portfolio facilitates the implementation of high-performance, highly scalable and appropriate solutions for every environment. It offers one of the broadest range of datacenter and campus Gigabit Ethernet switches (1/2.5/5/10/25/40/50/100/400) and routers in the industry. Arista provides routing and switching platforms with industry-leading capacity, low latency, port density and power efficiency. The company also continues to innovate in areas such as deep packet buffers, embedded optics and reversible cooling. Such a comprehensive portfolio augurs well for its long-term growth. Arista is witnessing solid demand among enterprise customers backed by its multi-domain modern software approach which is built upon its unique and differentiating foundation, the single EOS (Extensible Operating System) and CloudVision stack. The versatility of Arista's unified software stack across various use cases including WAN routing, campus and data center infrastructure sets it apart from its competitors.

Arista is well-poised for growth in data-driven cloud networking business with a leadership position in 100-gigabit Ethernet switches, industry-leading capacity, low latency, port density and power efficiency.

Reasons To Sell:

- ▼ Arista continues to enhance its existing product line and develop new technologies and products that address emerging technological trends, evolving industry standards and changing end-customer needs. This often **increases operating costs**. Total operating expenses in the fourth quarter of 2025 increased by around 23.1% to \$530.9 million, owing to higher headcount, new product introduction costs and higher variable compensation expenditures.
- ▼ Redesigning products and their supply chain mechanism has eroded the company's margins. The company is witnessing increased demand, but there are **lingering supply bottlenecks** for advanced products in a constrained supply chain environment. Therefore, it is increasing orders for these components and trying to build up inventory, which is blocking working capital.
- ▼ Arista faces **stiff competition** in cloud networking solutions, particularly in the 10-gigabit Ethernet and above. Cisco is the dominant player in the data center networking market by virtue of its diverse portfolio of IP-based networking products. Apart from Cisco, Arista faces significant competition from large network equipment and system vendors such as Brocade, Dell, Hewlett-Packard, Extreme Networks and Mellanox Technologies.
- ▼ Arista continues to derive a substantial portion of its revenue from a limited number of large customers, leading to **high customer concentration** risk. Any change in demand patterns of these clients can significantly affect the top line. Consequently, despite near-term revenue visibility, the company is susceptible to revenue fluctuations.

Fierce competition, customer concentration and rising operating costs are major concerns for the company.

Last Earnings Report

Arista Tops Q4 Earnings Estimates on Solid Revenues, Record Net Income

Arista reported strong fourth-quarter 2025 results, with revenues and adjusted earnings soaring year over year, driven by robust demand trends. Innovative product launches and steady customer additions backed by the company's best-in-class portfolio strength led to top-line expansion, while steady margin improvement contributed to earnings growth. Both the bottom and the top lines beat the respective Zacks Consensus Estimate.

FY Quarter Ending **12/31/2025**

Earnings Reporting Date	Feb 12, 2026
Sales Surprise	4.81%
EPS Surprise	9.33%
Quarterly EPS	0.82
Annual EPS (TTM)	2.95

Net Income

GAAP net income in the reported quarter increased to \$955.8 million or 75 cents per share from \$801 million or 62 cents per share in the year-ago quarter, propelled by higher revenues.

On a non-GAAP basis, net income was a record high at \$1.05 billion or 82 cents per share compared with \$849.6 million or 66 cents per share in the year-earlier quarter. The bottom line beat the Zacks Consensus Estimate by 7 cents.

For 2025, Arista recorded GAAP earnings of \$3.51 billion or \$2.75 per share compared with \$2.85 billion or \$2.23 in 2024. Non-GAAP earnings for 2025 were up to \$3.81 billion or \$2.98 per share from \$2.97 billion or \$2.32 per share in 2024.

Revenues

Quarterly revenues surged to \$2.49 billion from \$1.93 billion in the prior-year quarter, driven by strength across the product portfolio. The company introduced various solutions for cloud, Internet service providers and enterprise networks to meet the rising demands of AI/ML-driven network architectures. These innovations enabled Arista to deliver a superior customer experience and increase customer engagement. The top line beat the consensus estimate of \$2.37 billion. For 2025, total revenues increased to \$9.01 billion from \$7 billion in 2024.

Net quarterly sales from Products totaled \$2.09 billion compared with \$1.61 billion in the year-ago quarter. Service revenues increased to \$392.1 million from \$322.3 million. Arista witnessed positive demand trends owing to its strong product portfolio, which is highly scalable, programmable and provides data-driven automation, analytics and world-class support services.

Net sales from the Americas contributed approximately 79% to total revenues, while international revenues accounted for the remainder. Driven by its relentless pursuit of innovative products, Arista maintains a strong leadership position in the Data Center and Cloud Networking vertical.

Other Details

Non-GAAP gross profit rose to \$1.58 billion from \$1.24 billion for respective margins of 63.4% and 64.2%. The margin was above the company's guidance but declined year over year due to a higher mix of sales to cloud and AI Titan customers in the quarter.

Total operating expenses were \$530.9 million, up from \$431.4 million in the year-ago quarter. Research & development costs rose to \$348.4 million from \$285 million. Sales and marketing expenses also increased to \$139.1 million from \$111 million due to a rise in headcount, new product introduction costs and higher variable compensation expenditures. However, operating income for the quarter increased to \$1.03 billion from \$799.6 million on higher revenues.

Cash Flow & Liquidity

In 2025, Arista generated \$4.37 billion of net cash from operating activities compared with \$3.71 billion in 2024. As of Dec. 31, 2025, the company had \$1.96 billion in cash and cash equivalents and \$331.8 million in other long-term liabilities compared with the respective tallies of \$2.76 billion and \$252.8 million a year ago. Arista has \$817.9 billion worth of shares available for repurchase under its \$1.5 billion share buyback program.

Outlook

For the first quarter of 2026, management expects revenues to be approximately \$2.6 billion, driven by healthy growth momentum and solid demand trends. Non-GAAP gross margin is expected to be 62-63% and non-GAAP operating margin about 46%.

Revenues for 2026 are likely to grow 25% year over year, with a gross margin of 62-64% and an operating margin of 46%.

Recent News

On Mar 12, 2026, Arista announced XPO, a high-density, liquid-cooled pluggable optics solution for data centers. It delivers ultra-fast connectivity, improves energy efficiency, and reduces cooling requirements, supporting modern AI, cloud, and high-performance workloads.

Valuation

Arista's shares are down 14.5% over the past six months but up 57.2% over the trailing 12-month period. Stocks in the Zacks sub-industry are down 26.2% over the past six months, while stocks in the Zacks Computer and Technology sector are down 2.4% in the same period. Over the past year, the Zacks sub-industry is down 6.8% but the sector is up 34.6% in the same period.

The S&P 500 Index is down 0.3% in the past six months but up 21.3% in the past year.

The stock is currently trading at 33.37X forward 12-month earnings, which compares to 26.22X for the Zacks sub-industry, 22.81X for the Zacks sector and 20.8X for the S&P 500 Index.

Over the past five years, the stock has traded as high as 66.49X and as low as 24.58X, with a five-year median of 38.61X. Our Neutral recommendation indicates that the stock will perform in line with the market. Our \$135 price target reflects 4.05X forward 12-month earnings.

The table below shows summary valuation data for ANET.

Valuation Multiples - ANET					
		Stock	Sub-Industry	Sector	S&P 500
P/E F12M	Current	33.37	26.22	22.81	20.8
	5-Year High	66.49	67.92	29.9	23.8
	5-Year Low	24.58	26.22	18.67	15.73
	5-Year Median	38.61	39.1	26.11	21.19
P/B TTM	Current	12.48	4.51	9.23	7.72
	5-Year High	17.63	6.93	11.79	9.15
	5-Year Low	6.67	2.79	6.65	6.59
	5-Year Median	10.16	5.19	9.78	8.09
P/S F12M	Current	13.07	3.72	5.86	4.84
	5-Year High	20.22	6.22	7.42	5.63
	5-Year Low	6.48	3.09	4.34	3.82
	5-Year Median	10.54	4.7	6.31	5.07

As of 03/26/2026

Source: Zacks Investment Research

Industry Analysis⁽¹⁾ Zacks Industry Rank: Bottom 38% (152 out of 244)



Top Peers⁽¹⁾

Company (Ticker)	Rec	Rank
Autodesk, Inc. (ADSK)	Neutral	2
Broadridge Financial... (BR)	Neutral	3
Constellation Softwa... (CNSWF)	Neutral	4
Compass, Inc. (COMP)	Neutral	3
Paychex, Inc. (PAYX)	Neutral	3
Snap Inc. (SNAP)	Neutral	3
Toast, Inc. (TOST)	Neutral	3
Workday, Inc. (WDAY)	Neutral	3

Industry Comparison⁽¹⁾ Industry: Internet - Software

	ANET	X Industry	S&P 500	BR	CNSWF	WDAY
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Neutral	Neutral
Zacks Rank (Short Term)	3	-	-	3	4	3
VGM Score	B	-	-	B	B	B
Market Cap	151.75 B	642.23 M	38.90 B	18.38 B	36.02 B	31.91 B
# of Analysts	10	3	22	5	2	13
Dividend Yield	0.00%	0.00%	1.52%	2.48%	0.24%	0.00%
Value Score	F	-	-	C	C	C
Cash/Price	0.07	0.17	0.04	0.02	0.08	0.16
EV/EBITDA	32.62	7.28	13.42	12.31	14.75	17.88
PEG Ratio	1.32	1.02	1.76	NA	NA	0.58
Price/Book (P/B)	12.29	2.60	3.29	6.38	NA	4.09
Price/Cash Flow (P/CF)	43.06	17.18	13.72	12.25	NA	17.18
P/E (F1)	18.64	18.36	17.87	16.63	14.55	11.79
Price/Sales (P/S)	16.85	2.75	3.01	2.56	3.10	3.34
Earnings Yield	2.91%	4.68%	5.59%	6.01%	6.87%	8.49%
Debt/Equity	0.00	0.00	0.56	0.93	1.01	0.38
Cash Flow (\$/share)	2.80	0.22	9.62	12.85	NA	7.23
Growth Score	B	-	-	B	A	A
Hist. EPS Growth (3-5 yrs)	45.98%	15.26%	7.51%	11.32%	30.01%	96.39%
Proj. EPS Growth (F1/F0)	117.45%	24.58%	9.87%	10.64%	50.00%	14.19%
Curr. Cash Flow Growth	31.25%	-1.09%	7.92%	7.91%	21.36%	81.33%
Hist. Cash Flow Growth (3-5 yrs)	38.71%	17.51%	8.87%	11.20%	25.64%	38.30%
Current Ratio	3.05	1.60	1.19	0.97	1.02	1.32
Debt/Capital	0.00%	2.06%	38.05%	48.15%	50.36%	27.68%
Net Margin	38.99%	-0.16%	12.73%	14.86%	4.22%	7.26%
Return on Equity	30.37%	2.89%	17.16%	40.70%	49.29%	13.37%
Sales/Assets	0.53	0.59	0.53	0.85	0.79	0.54
Proj. Sales Growth (F1/F0)	-35.10%	10.47%	5.59%	6.60%	15.50%	11.60%
Momentum Score	A	-	-	A	C	F
Daily Price Chg	-1.45%	-3.12%	-1.67%	-1.51%	-1.39%	-2.96%
1 Week Price Chg	-1.76%	-1.40%	-3.60%	-2.22%	-1.18%	2.16%
4 Week Price Chg	-7.28%	-8.74%	-7.82%	-14.10%	-11.03%	-10.73%
12 Week Price Chg	-7.83%	-24.05%	-6.96%	-29.46%	-29.16%	-42.18%
52 Week Price Chg	52.95%	-28.72%	11.87%	-34.10%	-47.65%	-49.22%
20 Day Average Volume	6,641,905	903,965	3,196,808	1,754,002	10,662	5,395,567
(F1) EPS Est 1 week change	0.04%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	0.20%	0.00%	0.00%	0.00%	-2.67%	-4.73%
(F1) EPS Est 12 week change	6.61%	0.01%	0.47%	1.33%	-2.67%	-5.39%
(Q1) EPS Est Mthly Chg	-0.13%	0.00%	0.00%	0.00%	NA	-1.83%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	F
Growth Score	B
Momentum Score	A
VGM Score	C

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

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